

Risk & Control Summary

Business Process	Revenue & Receivables
No. of control	27
Gap	2

S/N	Particulars	Count of		Nature of control		Type	
		Risks	Control	Detective	Preventive	Automated	Manual
1	Initiating Sales order and Amendments	5	5	2	3	1	4
2	Generation of Delivery orders and cancellation	3	3	0	3	3	0
3	Inventory Allocation/Reservation	1	1	1	0	1	0
4	Logistics	4	4	1	3	0	4
5	Dispatch and Delivery of finished goods	3	3	1	2	0	3
6	Accounting for Sales	4	4	0	4	1	3
7	Customer Credit Control	3	3	1	2	0	3
8	Receipt and accounting from/of customers	4	4	0	4	0	4

Risk and Control Matrix

Control Objective No.	Control Objective	Sub Process	Related Account	Risk (What could go wrong?)	Control Heading	Control Description	Information Produced by Entity (IPE)	IPE Periodicity	Person Responsible	Nature of Control (Preventive/ Detective)	Type of Control (Manual/ Automated)	Control Risk (Low/ Medium / High)	Risk of Material Misstatement Due to Fraud	Assertion					Sample Tested	Control Gap	Control Gap Description (If any)	Status	Recommendation	
														Completeness	Existence/ Occurrence	Accuracy	Valuation/ Allocation	Rights & Obligations						Presentation & Disclosure
CO/SO/01	To ensure recording all the sales order	Initiating Sales order and Amendments	N.A	Not all sales order entries registered in the F2K software are synchronized with the LOGIC system.	Synchronisation of the sales order entry with LOGIC	Company organise the trade show wherein it collects the sales orders in Flite-to-know software. After recording the sales order, IT department syncs the FTK data with Logic.	Order entry	As and when	Sales Officer	Preventive	Manual	Low	No		✓					On sample basis for the period of April 2023 to December 2023	NO	NA	Pass	
CO/SO/02	To ensure recording all the sales order	Initiating Sales order and Amendments	N.A	Sales orders collected through door-to-door interactions by sales executives are not synchronized with the LOGIC	Synchronisation of the sales order entry with LOGIC	In case of Door to Door sales, sales executive collects and sends the data to SCM team	Order entry	As and when	Sales Officer	Preventive	Manual	Low	No		✓					On sample basis for the period of April 2023 to December 2023	No	NA	Pass	
CO/SO/03	To ensure recording all the sales order	Initiating Sales order and Amendments	N.A	If there isn't a corresponding customer master record in the LOGIC system, a sales order cannot be generated for a new	Synchronisation of the sales order entry with LOGIC	In case of New customer, SCM team punches the order in residuary account as "3G Customer" and then later on allocate the same to the actual party name as and when customer master is prepared.	3G Customer List	As and when	Senior Executive SCM	Detective	Manual	Medium	No		✓					On sample basis for the period of April 2023 to December 2023	Yes	Recording the new party in the name of 3G only ensure recording of complete sales orders.	Fail	Continuous monitoring should be carried out for pending parties in this ledger and cancelled order with respect to 3G account should be closed on

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CO/SO/04	To ensure Accurately preparation of Sales Order (SO) along with requisite approvals.	Initiating Sales order and Amendm ents	N.A	Amendment of sales order without authorization (before or after posting of production order)	Sales Order is amended by the sales executive/ manager.	Sales order is not modified as such but if any, it should be communicated by mail and approved by SCM team with request from Regional sales manager. No sales order can be modified directly communication from	S.O. Register	As and when	Senior Executive SCM	Detective	Manual	Medium	No				✓	On sample basis for the period of April 2023 to December 2023	No	NA	Pass	
CO/SO/04	To ensure Accurately preparation of Sales Order (SO) along with requisite approvals.	Initiating Sales order and Amendm ents	N.A	Non cancellation of open sales order	NA	NA	Open Sales order	As and when	Senior Executive SCM	Preventive	Automated	Medium	No		✓			On sample basis for the period of April 2023 to December 2023	Yes	Open sales orders are not cancelled in the system.	Fail	Open sales order should be cancelled in the system so as at the time of generating the packing list wrong sales order can not be selected in the system.
CO/DO/01	To ensure appropriate generation of delivery order	Generation of Delivery orders and cancellation	N.A	Delivery orders are generated without sales order	Mandatory Sales order selection	The preparation of a delivery order is contingent upon the prior selection of a generated sales order. This selection is a compulsory step during the creation of the delivery order.	Packing List	As and when	Senior Executive SCM	Preventive	Automated	Low	No					On sample basis for the period of April 2023 to December 2023	No	NA	Pass	

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CO/DO/02	To ensure appropriate generation of delivery order	Generation of Delivery orders and cancellation	N.A	Delivery orders prepared with inaccurate details such as wrong Quantity, Party & Item description etc.	Details are auto-populated from sales order data	The preparation of a delivery order is contingent upon the prior selection of a generated sales order upon which data are fetched automatically.	Packing List	As and when	Senior Executive SCM	Preventive	Automated	Low	No					On sample basis for the period of April 2023 to December 2023	No	NA	Pass	
CO/DO/03	To ensure appropriate generation of delivery order	Generation of Delivery orders and cancellation	N.A	Unauthorised cancellation of open DO	Follow Up for Open Delivery Orders	To ensure smooth access control for open delivery orders, the senior executive diligently monitors and follows up regularly, prioritizing the closure of orders promptly. In the event of a customer-initiated	NA	Weekly	Senior Executive SCM	Preventive	Automated	Low	No					On sample basis for the period of April 2023 to December 2023	No	NA	Pass	
CO/IA/01	To ensure proper allocation of inventory and avoid over/under stocking	Inventory Allocation/Reservation	Inventory/Stock Account	Orders are accepted in absence of inventory	Stock reservation and allocation is done in system	The company follows a proactive inventory management system by reserving and allocating inventory upon receiving sales orders, aligning production planning accordingly. This approach ensures that there is no risk of stock	Reserved Stock	As and when	Senior Executive SCM	Detective	Automated	Medium	No					On sample basis for the period of April 2023 to December 2023	No	NA	Pass	

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CO/L/01	To ensure proper selection of the transporter	Logistics	1. Transport Agency Account and related Expense 2. Bank Account	Rates of transport are not approved	Approval for Transport rates	Selection of the transportation agency and the rate negotiation are done by the commercial team with prior approval from the directors.	Agreement with the transport agency	-	Senior Executive Commercial department	Preventive	Manual	Low	No							On sample basis for the period of April 2023 to December 2023	No	NA	Pass	
CO/L/02	Safeguarding of the goods against any contingencies	Logistics	1. Transport Agency Account and related Expense 2. Bank Account	Insurance not taken by Transporter in case of Accidental/non-accidental Damages or loss in local sales as well as in export sales.	Insurance on the goods	The company has secured a marine cargo open policy through TATA AIG Insurance, covering various scenarios including domestic stock transfer, inter-factory movements, inter-unit movements, and inter-job work	Agreement with the transport agency	-	Senior Executive Commercial department	Preventive	Manual	Low	No							On sample basis for the period of April 2023 to December 2023	No	NA	Pass	
CO/L/03	To ensure goods are delivered on time	Logistics	1. Transport Agency Account and related Expense 2. Bank Account	Goods are not dispatched/delivered on time to customer.	Follow Up with transportation agency	After the goods depart from the company's premises, specifically the warehouse, the transport agency assigns docket numbers to each order. The SCM team is granted authorization by the transport agency to	Pending Packing List	Weekly	Senior Executive SCM	Detective	Manual	Medium	No							On sample basis for the period of April 2023 to December 2023	No	NA	Pass	

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CO/L/04	To ensure proper selection of transporter.	Logistics	1. Transport Agency Account and related Expense 2. Bank Account	Incorrect billing by transporter in case of Selected transporters if billed monthly/ periodically.	Reconciliation of invoice of Transporter & Dispatch register	Invoice of transporter is received periodically. Accounts executive verifies the list of Invoices containing details with the LR copies issued for dispatch. Invoice is approved only after receipt of all customer acknowledged copies	Reconciliation	As and when	Senior Executive Commercial department	Preventive	Manual	Low	No			✓				On sample basis for the period of April 2023 to December 2023	No	NA	Pass	
CO/DD/01	To ensure timely dispatch of goods to customer.	Dispatch and Delivery of finished goods	N.A	Short quantity dispatched compared to invoice quantity.	The units are verified and specified at the time of packing	The quantity in delivery orders is automatically populated from the corresponding sales order. Following the preparation of the delivery order, the SCM Team conducts a thorough check to ensure that the items	Packing list with scanned quantity details	As and when	Store officer	Preventive	Manual	Low	No	✓		✓				On sample basis for the period of April 2023 to December 2023	No	NA	Pass	
CO/DD/02	To ensure timely dispatch of goods to customer.	Dispatch and Delivery of finished goods	N.A	Late dispatch of goods or no dispatch of goods	Follow Up with Dispatch team	The company follows a system where, upon completion of the delivery order for dispatch, the dispatch team scans it, automatically updating the SCM team's system. If delivery orders are not promptly scanned, the	NA	As and when	Senior Executive SCM	Detective	Manual	Medium	No							On sample basis for the period of April 2023 to December 2023	No	NA	Pass	

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CO/DD/03	To ensure timely dispatch of goods to customer.	Dispatch and Delivery of finished goods	N.A	Dispatch of goods without generation of sales invoice	Compulsory Sales invoice	No goods will be released from the warehouse unless a corresponding sales invoice has been properly generated and attached with the goods to be dispatched.	Dispatch Register	As and when	Store officer	Preventive	Manual	Low	No							On sample basis for the period of April 2023 to December 2023	No	NA	Pass	
CO/AC/01	To ensure correct creation of sales documents.	Accounting for Sales	1. Sales Account 2. Trade Receivable Account 3. GST Payable Account	Mistake in preparation of Sales Invoice and details in such sales invoice	Scanning of the Goods	Sales invoice can be generated only against the packing list of scanned material.	Copies of Sales invoice	As and when	Store officer	Preventive	Manual	Low	No			✓				On sample basis for the period of April 2023 to December 2023	No	NA	Pass	
CO/AC/02	To ensure correct creation of sales documents.	Accounting for Sales	1. Sales Account 2. Trade Receivable Account 3. GST Payable Account	Invoice raised with wrong HSN code/GST number	Master data of Item, Rate and Party	The system incorporates item-specific HSN codes and GST rates, pre-determined by the accounts team. When specific items are chosen to generate a sales invoice, the system automatically selects the	Invoice	As and when	Senior Executive SCM	Preventive	Automated	Low	No							On sample basis for the period of April 2023 to December 2023	No	NA	Pass	

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CO/AC/03	To ensure proper recording of sales of goods and By product.	Accounting for Sales	1. Sales Account 2. Trade Receivable Account 3. GST Payable Account	Invoice raised without Approval	Invoice with Approval	Once sales invoice is generated by the SCM team, commercial team provides approval with respect to correct details in the invoice, customer outstanding reconciliation and goods dispatch information.	NA	As and when	Store officer	Preventive	Manual	Low	No					✓		On sample basis for the period of April 2023 to December 2023	No	NA	Pass	
CO/AC/04	To ensure proper recording of sales of goods and By product.	Accounting for Sales	1. Sales Account 2. Trade Receivable Account 3. GST Payable Account	Export receivables revaluation may not be accurately recorded	Revaluation of the exchange differences	Revaluation gain or loss is recorded at the time of actual receipt from customer	NA	As and when	Accounts Executive	Preventive	Manual	Medium	No							On sample basis for the period of April 2023 to December 2023	No	NA	Pass	
CO/CC/01	To ensure effective Debtor's Management.	Customer Credit Control	1. Trade Receivables Account 2. Bank account	Credit limit offered not in lines with companies policy	Decision for Credit Limit Policy is taken after Discussion with the customer.	The management establishes the credit limit for each customer based on individual agreements. Discounts and allowable credit limits are determined exclusively in accordance with the limits specified by the	Credit terms List	-	CFO & Director	Preventive	Manual	Medium	No							On sample basis for the period of April 2023 to December 2023	No	NA	Pass	

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CO/CC/02	To ensure effective Debtor's Management.	Customer Credit Control	1. Trade Receivables Account 2. Bank account	Sales of goods without clearance of Overdues.	System control in place for adhering to credit terms defined.	Goods will be dispatched from the warehouse only after receiving confirmation from the commercial team. This team verifies the pending balance of that particular customer, ensuring clarity on outstanding balances.	—	As and when	Senior Executive Commercial department	Detective	Manual	Medium	No							On sample basis for the period of April 2023 to December 2023	No	NA	Pass	
CO/CC/03	To ensure effective Debtor's Management.	Customer Credit Control	1. Trade Receivables Account 2. Bank account	Unauthorized changes in credit limit	Restricted changes in credit limit.	Any alteration to the credit limit requires approval either from the Director or the CFO then only master gets updated.	-	-	CFO & Director	Preventive	Manual	Medium	No							On sample basis for the period of April 2023 to December 2023	No	NA	Pass	
CO/RA/02	To ensure receipt from the customer and accounting for the same	Receipt and accounting from/of customers	1. Trade Receivables Account 2. Bank account 3. Discount given in/after Invoice	Non-deposition of cheque in case of COD transactions on due date	Cheque tracker, Reconciliation and Deposition of the same.	Commercial team maintains the Cheque tracker and deposite the same on the due date.	Tracker	As and when	SCM Team	Preventive	Manual	Medium	No							On sample basis for the period of April 2023 to December 2023	No	NA	Pass	

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CO/RA/03	To ensure receipt from the customer and accounting for the same	Receipt and accounting from/of customers	1. Trade Receivables Account 2. Bank account 3. Discount given in/after Invoice	Inaccurate / invalid recording of collection from customers and adjustment of advances from customers	Manual reconciliation periodically	Receipts from customers are accounted by the accounts executive, on the day end a bank reconciliation statement is prepared and any pending receipts are properly accounted. In case if receipt from one	Reconciliation	-	SCM Team	Preventive	Manual	Medium	No	✓			On sample basis for the period of April 2023 to December 2023	No	NA	Fail	-
CO/RA/01	To ensure receipt from the customer and accounting for the same	Receipt and accounting from/of customers	1. Trade Receivables Account 2. Bank account 3. Discount given in/after Invoice	Dues/advances from customer outstanding for a long period	Review of the accounts	A report is sent to sales executive for overdue trade receivables and reasons from non - receipt of payments are enquired by the sales Head/ Director. Further in case of long overdue debtors the	-	As and when	SCM Team	Preventive	Manual	Medium	No	✓			On sample basis for the period of April 2023 to December 2023	No	NA	Pass	
CO/RA/05	To ensure receipt from the customer and accounting for the same	Receipt and accounting from/of customers	1. Trade Receivables Account 2. Bank account 3. Discount given in/after Invoice	All receipts are not recorded.	Recording of receipts from customers on the basis of advice	Receipts from customer are recorded bill wise in case if payments advice is received from the customer or payment matches with a particular bill. Also the company has a process of	-	As and when	SCM Team	Preventive	Manual	Medium	No	✓		✓	On sample basis for the period of April 2023 to December 2023	No	NA	Pass	